

## **401(k) Plans**

A 401(k) plan is an employer-sponsored retirement plan that gives a special tax break to employees saving for retirement. Here's how the tax break works: If you contribute \$2,000 a year and you're in the 28 percent federal tax bracket, you'll save \$560 because the \$2,000 is deducted from your pay before your taxes are calculated. If you live in one of the states where 401(k) contributions are tax deferred, and you're in a 6 percent state income tax bracket, you'll save another \$120 in state taxes, for a total savings of \$680.

The bottom line is that you add \$2,000 to your investment account but only \$1,320 comes out of your pocket ( $\$2,000 - \$680 = \$1,320$ ). You don't pay taxes on your earnings until you withdraw them, presumably at retirement, so your investments grow faster as your untaxed earnings benefit from compounding.

### **Employer Match**

Many employers match a certain percentage of your contributions. The amounts vary but a typical match is between fifty cents and \$1 for every dollar you contribute, up to 6 percent of your salary. Even if your employer doesn't contribute, 401(k) plans are great, but if a match is offered and you don't participate, it's like walking past money lying on the sidewalk and not picking it up.

### **Contribution Limits**

The IRS sets limits, adjusted annually for inflation, on how much you can contribute to a 401(k) plan each year. For 2012, you can contribute up to \$17,000 as long as it doesn't exceed 100 percent of your earnings. Once you reach age fifty, you're allowed to make additional "catch-up" contributions of up to \$5,500 in 2012. The total of all contributions, including yours and your employer's, cannot exceed 100 percent of your